



TSO

Complainant,

-versus-

NPC 22-179

ARM AND HBM

Respondents.

For: Violation of the
Data Privacy Act of
2012

X-----X

DECISION

NAGA, P.C.;

Before the Commission is a Complaint dated 15 August 2022 filed by TSO (Complainant) against ARM and HBM (Respondents) for an alleged violation of the Data Privacy Act of 2012 or Republic Act No. 10173 (DPA).¹

Facts

In her Complaint, Complainant stated that she is the sister of MSM, who is married to SRM, son of Respondent ARM.² MSM and Respondent ARM had a strained relationship since SRM and MSM “split their own ways.”³

The strained relationship sprung, particularly from a civil case of unlawful detainer before the Municipal Circuit Court [Municipal Trial Court in Cities] of San Pablo City, Laguna (MTCC of San Pablo City, Laguna).⁴ While obtaining a Certificate to File Action before Barangay IV of San Pablo City, Laguna, the Complainant and her family had an unpleasant encounter and was confronted with a violent reaction by Respondent ARM’s husband, ERM.⁵

¹ Complaint dated 15 August 2022 of Complainant TSO.

² *Id.* ¶ 3.

³ *Id.* ¶ 4.

⁴ *Id.* ¶ 5.1.

⁵ Complaint dated 15 August 2022 of Complainant TSO, ¶ 7.

After the incident, the Complainant kept on receiving suspicious text messages from an anonymous number threatening her and her family of harm.⁶ Taking into consideration the incident and the timing, she alleged that Respondent ARM and/or ERM, or anyone close to them, might be behind the said threats.⁷ She further stated that “being a mother,” she cannot ignore the said messages as she was well-aware of what the family of Respondent ARM is capable of.⁸

To confirm her belief that Respondent ARM is connected with the anonymous messages, the Complainant sent a Facebook message to DDT, the administrator of the Facebook page and “ICT” of Respondent ARM’s workplace.⁹ DDT indorsed her to Respondent HBM.¹⁰ Still through Facebook Messenger, Complainant confided with Respondent HBM and asked her how to file a complaint against a teacher of their school.¹¹ The Complainant cleared that she made the communications in confidence as she does not intend anyone to pry into their conversation.¹²

Thereafter, the Complainant was surprised that Respondent HBM leaked their stream of messages into the Answer with Counterclaim dated 26 July 2022 in the Complaint for Ejectment/Unlawful Detainer with Damages before the MTCC of San Pablo City, Laguna filed by MSM against Respondent ARM.¹³ Complainant alleged that Respondent HBM accused her of playing the victim, and suddenly changed her tone against the Complainant and MSM.¹⁴

The Complainant averred that Respondent HBM is claiming that she refused to meddle with their concern as it involves a personal matter.¹⁵ Complainant belied such claim and questioned why Respondent HBM testified and chose to go against her.¹⁶ Further, the Complainant posited that Respondent ARM convinced Respondent HBM to leak the confidential communication they had.¹⁷

The Complainant then charges the Respondents with violation of the DPA for the processing of her sensitive personal information and

⁶ *Id.* ¶ 8.

⁷ *Id.* ¶ 8.1.

⁸ *Id.*

⁹ Annex “B-1,” Complaint dated 15 August 2022 of Complainant TSO, at p. 16.

¹⁰ Complaint dated 15 August 2022 of Complainant TSO, ¶ 9.

¹¹ Annex “B-2,” Complaint dated 15 August 2022 of Complainant TMSO, at p. 17.

¹² Complaint dated 15 August 2022 of Complainant TSO, ¶ 10 and subparagraph.

¹³ *Id.* ¶ 11.

¹⁴ *Id.*

¹⁵ *Id.* ¶ 11.1.

¹⁶ Complaint dated 15 August 2022 of Complainant TSO, ¶ 11.1.

¹⁷ *Id.* ¶ 13.

privileged information.¹⁸ She alleged that privileged information was defined under Section 3 of the DPA as any form of data which under the Rules of Court and other pertinent laws constitute privileged information.¹⁹ As such, she argued that “any unauthorized disclosure of the same is a violation of the [DPA].”²⁰

In addition, Complainant contended that under Section 24, [Rule 130] of the Rules of Court, a communication made to a public officer in official confidence is privileged and should not be disclosed.²¹ Thus, Complainant argued that Respondent HBM is a public school teacher, and thus a public officer, and the communication that the Complainant made to her is privileged.²²

Complainant further alleged that the Respondents violated Republic Act No. 6713, or the Code of Conduct and Ethical Standards for Public Officials and Employees,²³ in view of the unwarranted disclosure made. She continues that “Respondent-ARM, seek to further her own interest in acquiring the testimony of Respondent-HBM, while the latter prejudices public interest having failed to observe an undivided loyalty in favor of her co-Respondent herein.”²⁴

Complainant prays that:

- (a) an order of permanent ban on the data gathered by the Respondents thereby rendering it inadmissible;
- (b) an order be issued recommending the institution of criminal action for violation of DPA against the Respondents; and
- (c) an order be issued directing the Respondent to indemnify the Respondents *[sic]* of moral damage and exemplary damages in the amount of Two Hundred Thousand Pesos (PHP 200,000.00).²⁵

On 05 September 2022, the Complaints and Investigation Division (CID) issued an order for the Respondents to file their verified

¹⁸ *Id.* ¶ 15.

¹⁹ *Id.* ¶ 16.

²⁰ Complaint dated 15 August 2022 of Complainant TSO, ¶ 19.

²¹ *Id.* ¶ 17.

²² *Id.* ¶ 19.

²³ An Act Establishing A Code Of Conduct And Ethical Standards For Public Officials And Employees, To Uphold The Time-Honored Principle Of Public Office Being A Public Trust, Granting Incentives And Rewards For Exemplary Service, Enumerating Prohibited Acts And Transactions And Providing Penalties For Violations Thereof And For Other Purposes.

²⁴ Complaint dated 15 August 2022 of Complainant TSO, ¶ 21.

²⁵ *Id.* p. 7.

comments and required them to appear virtually for preliminary conferences set on 16 December 2022 and 20 January 2023.²⁶

On 04 October 2022, counsel for Respondent ARM entered their appearance along with a motion for an extension to file their verified comment.²⁷ The motion was granted by the Commission, through the CID, giving both Respondents a fresh period of fifteen (15) days from receipt of the Order to file their respective verified comments.²⁸

On 28 October 2022, Respondents submitted their Joint Comment dated 10 October 2022, raising by way of an affirmative defense that the conversation between Complainant and Respondent HBM was not sensitive personal information.²⁹ They claimed that the following are the requisites for the application of privileged communication under Section 24 (e), Rule 130 of the Rules of Court: (a) there must be an official confidential communication; (b) that the communication must have been made to a public officer; and (c) that the disclosure of the communication would affect public interest.³⁰ They counter that neither does the conversation between them should be considered as privileged communication for lack of factual circumstances that would elevate the same to an official confident communication.³¹

Furthermore, they cited that the test of confidentiality is that the communication is confidential if its disclosure may endanger public safety and security.³² That the communication is a private matter, not confidential or privileged communication, and its disclosure will not affect public interest.³³

The Respondents added that Respondent ARM was merely exercising her rights as a data subject when she requested a copy of the communication.³⁴ Based on Complainant's communication to Respondent HBM, the former wanted Respondent ARM to deny and explain the alleged anonymous message.³⁵ They also counter that Respondent HBM cannot be faulted for giving Respondent ARM a

²⁶ *TSO v. ARM and HBM*, NPC 22-179, Order dated 05 September 2022, Complaints and Investigation Division.

²⁷ Notice of Appearance of Counsel with Motion to Furnish Copy of Unattached Exhibits and for Extension of Time to File Verified Comment of Respondent ARM dated 04 October 2022.

²⁸ *TSO v. ARM and HBM*, NPC 22-179, Order dated 12 October 2022, Complaints and Investigation Division.

²⁹ *Id.* ¶ 25.

³⁰ *Id.* ¶ 29.

³¹ *Id.* ¶ 30.

³² Joint Comment dated 10 October 2022 of Respondents ARM and HBM, ¶ 33.

³³ *Id.*

³⁴ *Id.* ¶ 38.

³⁵ *Id.* ¶ 34.

copy of her conversation with the Complainant since Respondent ARM is a data subject herself because it was her name that was mentioned in the conversation and subject of the complaint.³⁶ Also, they claimed that only the court has the authority to determine whether the communication is privileged and whether the disclosure will affect public interest.³⁷

Another defense raised by the Respondents is that the subject communication falls under the exception on processing of sensitive personal information and privileged information since it was used by Respondent ARM in her counterclaim as evidence in the ejectment case filed before the court to protect her rights and interest and for the establishment of her defense or legal claims.³⁸

The Respondents also reasoned out that Complainant is not entitled to moral damages there being no violation of the DPA³⁹ and that she did not allege her entitlement to the same, but merely included it in her prayer.⁴⁰

On procedural infirmities, the Respondents also argued that the complaint failed to exhaust administrative remedies since the Complainant did not give them the opportunity to address the complaint without justification for such failure, and thus, the complaint should be dismissed outright.⁴¹

On 03 November 2022, the CID issued an Order noting the Respondents' Joint Comment and reminded the parties to appear in the preliminary conferences.⁴²

On 15 December 2022, counsel for the Respondents sent an email submitting a copy of the Special Power of Attorney executed by the Respondents authorizing him to appear during the preliminary conference hearing in their favor.⁴³

On 19 December 2022, the CID issued an order resetting the preliminary conference in view of the ongoing judicial dispute

³⁶ Joint Comment dated 10 October 2022 of Respondents ARM and HBM, ¶ 36.

³⁷ *Id.* ¶ 39.

³⁸ *Id.* ¶ 44.

³⁹ *Id.* ¶ 48.

⁴⁰ Joint Comment dated 10 October 2022 of Respondents ARM and HBM, ¶ 53.

⁴¹ *Id.* ¶¶ 56-57.

⁴² *TSO v. ARM and HBM*, NPC 22-179, Order dated 03 November 2022, Complaints and Investigation Division.

⁴³ *TSO v. ARM and HBM*, NPC 22-179, Email dated 15 December 2022 by the Respondents.

resolution between the parties and set the second schedule of the preliminary conference on 20 January 2023.⁴⁴ Further, the parties were also required to submit a manifestation to further reset the preliminary conference on or before 20 January 2023 if the parties are still undergoing settlement efforts.⁴⁵ On 19 January 2023, the Respondents filed a Manifestation claiming that the civil case for ejectment pending before Branch 1, MTCC, San Pablo, Laguna, has yet to be referred for Judicial Dispute Resolution and the setting of the case was reset on 22 February 2023 for continuation of preliminary conference.⁴⁶

On 20 January 2023, an order requiring the parties to submit a signed application for mediation and for them to appear for a mediation conference was likewise issued.⁴⁷ On 24 January 2023 and 01 February 2023, the parties filed their respective Applications for Mediation.⁴⁸ On 02 February 2023, an order to Mediate was issued by the CID.⁴⁹

On 15 March 2023, a Notice of Non-Settlement of Dispute was issued.⁵⁰ On 17 March 2023, the CID ordered for the resumption of the complaint proceedings and required the parties to submit their respective memoranda.⁵¹

In her Memorandum dated 21 March 2023, Complainant reiterated her claims in the Complaint.⁵² She emphasized that the communication between her and Respondent HBM, as a public school teacher, is privileged and any unauthorized disclosure of the same is a violation of the DPA.⁵³

In their Memorandum dated 29 March 2023, the Respondents likewise rehashed their arguments in their Joint Comment.⁵⁴

⁴⁴ *TSO v. ARM and HBM*, NPC 22-179, Order dated 19 December 2022, Complaints and Investigation Division.

⁴⁵ *Id.*

⁴⁶ *TSO v. ARM and HBM*, NPC 22-179, Manifestation dated 19 January 2023 by the Respondents.

⁴⁷ *TSO v. ARM and HBM*, NPC 22-179, Order dated 20 January 2023, Complaints and Investigation Division.

⁴⁸ *TSO v. ARM and HBM*, NPC 22-179, Application for Mediation dated 24 January 2023 of the Complainant and Application for Mediation dated 01 February 2023 by the Respondents.

⁴⁹ *TSO v. ARM and HBM*, NPC 22-179, Order dated 02 February 2023, Complaints and Investigation Division.

⁵⁰ *TSO v. ARM and HBM*, NPC 22-179, Notice of Non-Settlement of Dispute dated 15 March 2023, Complaints and Investigation Division.

⁵¹ *TSO v. ARM and HBM*, NPC 22-179, Order dated 17 March 2023, Complaints and Investigation Division.

⁵² Memorandum dated 21 March 2023 of Complainant TSO.

⁵³ *Id.* at ¶ 22.

⁵⁴ Memorandum dated 29 March 2023 of Respondents ARM and HBM.

On 30 June 2023, Complainant filed a Motion to Dismiss, alleging that she and the Respondents have already entered into a Compromise Agreement that was approved by the MTCC San Pablo City, Laguna on 24 May 2023.⁵⁵ Thus, Complainant manifests her disinterest in pursuing her case before the NPC by attaching her Affidavit of Desistance.⁵⁶

Issue

Whether the complaint should be dismissed for lack of merit.

Discussion

- I. *The complaint shall be given due course despite failure of the Complainant to exhaust remedies.*

Delving into the alleged procedural infirmities, Respondents argued that the Complainant failed to exhaust remedies for her failure to give them the opportunity to address the complaint without justification and thus deserves outright dismissal.⁵⁷

Section 2, Rule II of NPC Circular No. 2021-01 (NPC Rules of Procedure) reads:

SECTION 2. Exhaustion of remedies. – No complaint shall be given due course unless it has been sufficiently established and proven that:

1. the Complainant has informed, in writing, the personal information controller (PIC), personal information processor (PIP), or concerned entity of the privacy violation or personal data breach to allow for appropriate action on the same; and
2. the PIC, PIP, or concerned entity did not take timely or appropriate action on the claimed privacy violation or personal data breach, or there is no response from the PIC, PIP, or concerned entity within fifteen (15) calendar days from receipt of written information from the Complainant.

⁵⁵ Motion to Dismiss dated 30 June 2023 of TSO.

⁵⁶ *Id.*

⁵⁷ Joint Comment dated 10 October 2022 of Respondents ARM and HBM, ¶¶ 56-57.

The NPC may waive any or all of the requirements of this Section at its discretion upon (a) good cause shown, properly alleged and proved by the Complainant; or (b) if the allegations in the complaint involve a serious violation or breach of the Data Privacy Act of 2012, taking into account the risk of harm to the affected data subject, including but not limited to:

- i. when there is grave and irreparable damage which can only be prevented or mitigated by action of the NPC;
- ii. when the Respondent cannot provide any plain, speedy or adequate remedy to the alleged violation; or
- iii. the action of the Respondent is patently illegal.⁵⁸

It is true that the Complainant neither stated in her Complaint nor refuted in her Memorandum the reason of her non-compliance with the above rule. She did not also submit any proof in writing showing that she informed either of the Respondents of the privacy violation allowing them to take the necessary actions over the same.

Even so, the Commission held in *CL v. DDZ* and *DM v. DDZ*.⁵⁹

Moreover, this Commission takes this opportunity to remind its previous ruling in NPC Case No. 19-528, which states that the purpose of Section 4 of NPC Circular No. 16-04 [now Section 2, Rule II under the 2021 Amended Rules of Procedure] is to prevent the unduly clogging of the Commission's docket and avoid instances wherein a case shall be dismissed despite the good cause shown by the Complainant or the case involves a serious violation of the DPA. This Commission also reminds that the Rule is meant to prohibit instances of deciding cases based on mere technicalities.

Additionally, it shall be emphasized that the personal information of Complainants were already processed by the Respondent when he requested and accessed the passports and included it to his Complaint Affidavit. In this case, the Rule can no longer apply given that the Respondent cannot take any appropriate action to remedy the situation since the passports were already included in the Complaint Affidavit filed before the Office of the Prosecutor and cannot be withdrawn.

Here, it is clear that the Respondents have already processed the personal data of the Complainant when it was used as evidence in a

⁵⁸ 2021 RULES OF PROCEDURE OF THE NATIONAL PRIVACY COMMISSION, [NPC Circular No. 2021-01], rule II, § 2 (2021).

⁵⁹ *CL v. DDZ, DM v. DDZ*, NPC 19-030, Decision dated 10 June 2021, p. 5.

case before the MTCC of San Pablo City, Laguna. Therefore, the rule on exhaustion of remedies no longer finds application there being no way for the Respondents to remedy the situation and take appropriate action over it.

II. *The communication between Complainant and Respondent Meer do not contain sensitive personal nor privileged information.*

On the first argument, the Complainant claims that the messages she sent to Respondent HBM were entrusted by the former to the latter with confidence. As such, the Complainant submits that the said communication is considered as privileged communication under the Rules of Court.⁶⁰

Section 13 of the DPA provides the instances when processing of sensitive personal information is allowed.⁶¹ Accordingly, the definition of privileged information is likewise provided in the same law, viz:

SEC. 3. *Definition of Terms.* - Whenever used in this Act, the following terms shall have the respective meanings hereafter set forth:

x x x

(k) *Privileged information* refers to any and all forms of data which under the Rules of Court and other pertinent laws constitute privileged communication.⁶²

Rule 132, Section 24 (e) of the Amended Rules on Evidence reads:

Section 24. *Disqualification by reason of privileged communications.* - The following persons cannot testify as to matters learned in confidence in the following cases:

x x x

(e) A public officer cannot be examined during or after his or her tenure as to communications made to him or her in official

⁶⁰ Complaint dated 15 August 2022 of Complainant TSO, ¶ 19.

⁶¹ Data Privacy Act of 2012, Republic Act No. 10173, chapter III, § 13.

⁶² Data Privacy Act of 2012, Republic Act No. 10173, chapter I, § 3 (k).

confidence, when the court finds that the public interest would suffer by the disclosure. The communication shall remain privileged, even in the hands of a third person who may have obtained the information, provided that the original parties to the communication took reasonable precaution to protect its confidentiality. (24a)⁶³

The above rule also pertains to disqualification of public officers to testify by reason of privileged communication. *Banco Filipino v. Monetary Board* enumerated the requisites for the disqualification of public officers to apply, *viz*:

The disqualification because of privileged communications to public officers requires: (a) that it was made to the public officer in official confidence; and (b) that public interest would suffer by the disclosure of such communications, as in the case of State secrets. Where no public interest would be prejudiced, this rule does not apply.⁶⁴

It may be conceded that the first requisite on the list is present in this case. However, the subject communication between the Complainant and Respondent HBM lacks the last requirement, *i.e.*, when the court finds the public interest would suffer by the disclosure.

To determine whether in the disclosure of the subject information the public interest would suffer thereby, *MES v. Committee on Trade and Related Matters (CTRM) of NEDA* states:

[T]here is no rigid test in determining whether or not a particular information is of public concern or public interest. Both terms cover a wide-range of issues that the public may want to be familiar with either because the issues have a direct effect on them or because the issues "naturally arouse the interest of an ordinary citizen." As such, whether or not the information sought is of public interest or public concern is left to the proper determination of the courts on a case to case basis.⁶⁵

⁶³ 2019 PROPOSED AMENDMENTS TO THE REVISED RULES ON EVIDENCE, rule 130, § 24 ¶ (e).

⁶⁴ *Banco Filipino Savings and Mortgage Bank, v. The Monetary Board, Central Bank of the Philippines, Jose B. Fernandez, Carlota P. Valenzuela, Arnulfo B. Aurellano and Ramon V. Tiaoqui*, G.R. No. 70054, 11 December 1991.

⁶⁵ *Mario Jose E. Sereno v. Committee on Trade and Related Matters (CTRM) of NEDA*, G.R. No. 175210, 01 February 2016.

Respondent HBM's Judicial Affidavit in the subject civil case⁶⁶ also offered the print-out of Facebook messages⁶⁷ between her and the Complainant.

A close perusal of the stream of messages⁶⁸ reveals that the Complainant identified herself and made accusation of offenses allegedly committed against her and her family by Respondent ARM and her husband. However, the messages divulged by the Complainant to Respondent HBM could not be considered as privileged information since it would not satisfy the requirement that public interest would suffer by the disclosure. The issues of the information contained therein have no direct effect to the public and it would not naturally arouse the interest of an ordinary citizen.

Neither can the communication between Respondent HBM and the Complainant be tagged as sensitive personal information. Section 3 (l) of the DPA is cited, thus:

SEC. 3. *Definition of Terms.* – Whenever used in this Act, the following terms shall have the respective meanings hereafter set forth:

x x x

(l) *Sensitive personal information* refers to personal information:

(1) About an individual's race, ethnic origin, marital status, age, color, and religious, philosophical or political affiliations;

(2) About an individual's health, education, genetic or sexual life of a person, or to any proceeding for any offense committed or alleged to have been committed by such person, the disposal of such proceedings, or the sentence of any court in such proceedings;

(3) Issued by government agencies peculiar to an individual which includes, but not limited to, social security numbers, previous or current health records, licenses or its denials, suspension or revocation, and tax returns; and

⁶⁶ Annex "D" of the Complaint dated 15 August 2022 by Complainant TSO, p. 1.

⁶⁷ Annex "B" and series of the Complaint dated 15 August 2022 by Complainant TSO, pp. 15-18.

⁶⁸ *Id.*

(4) Specifically established by an executive order or an act of Congress to be kept classified.⁶⁹

Clearly, the communication given by the Complainant to Respondent HBM cannot also be considered as sensitive personal information since it does not fall under any of the enumerations provided under the DPA. Nonetheless, the communication between the Complainant and Respondent HBM is personal information.

Section 3 (g) of the DPA states:

SEC. 3. *Definition of Terms.* – Whenever used in this Act, the following terms shall have the respective meanings hereafter set forth:

x x x

(g) *Personal information* refers to any information whether recorded in a material form or not, from which the identity of an individual is apparent or can be reasonably and directly ascertained by the entity holding the information, or when put together with other information would directly and certainly identify an individual.⁷⁰

To reiterate, the stream of messages⁷¹ annexed to the Complaint reveals the name of the Complainant and her accusation of offenses allegedly committed against her and her family.

Hence, since the identity of the Complainant in the messages is apparent and can be reasonably and directly ascertained by the person holding the information, it is personal information. Further, the processing of the personal information must be in accordance with the DPA.

III. Respondents Meer and Maranan both have lawful bases in processing the personal information of the Complainant.

In her Judicial Affidavit, Respondent HBM stated that she is testifying to prove that the Complainant accused Respondent ARM of threat and that Complainant abused her right by intentionally reporting the

⁶⁹ Data Privacy Act of 2012, Republic Act No. 10173, chapter I, § 3 (l).

⁷⁰ Data Privacy Act of 2012, Republic Act No. 10173, chapter I, § 3 (g).

⁷¹ *Id.*

unfounded or unverified accusation to Respondent ARM’s workplace.⁷²

Section 12 (f) of the DPA declares that:

SEC. 12. *Criteria for Lawful Processing of Personal Information.* – The processing of personal information shall be permitted only if not otherwise prohibited by law, and when at least one of the following conditions exists:

x x x

(f) The processing is necessary for the purposes of the legitimate interests pursued by the personal information controller or by a third party or parties to whom the data is disclosed, except where such interests are overridden by fundamental rights and freedoms of the data subject which require protection under the Philippine Constitution.⁷³

On the other hand, Section 13 (f) of the DPA dictates:

SEC. 13. *Sensitive Personal Information and Privileged Information.* – The processing of sensitive personal information and privileged information shall be prohibited, except in the following cases:

x x x

(f) The processing concerns such personal information as is necessary for the protection of lawful rights and interests of natural or legal persons in court proceedings, or the establishment, exercise or defense of legal claims, or when provided to government or public authority.⁷⁴

The Commission has already ruled in JCB v. FRL⁷⁵ that the protection of lawful rights and interests under Section 13 (f) of the DPA is considered as legitimate interest pursuant to Section 12 (f) of the DPA, to wit:

Although Section 13 (f) applies to sensitive personal information while the information involved in this case is just personal information, the protection of lawful rights and interests under Section 13 (f) by the Respondent is considered as legitimate interest pursuant to Section 12 (f) of the DPA. This section provides that it is lawful to process personal information if it is

⁷² Annex “D” of the Complaint dated 15 August 2022 by Complainant TSO, p. 3.

⁷³ Data Privacy Act of 2012, Republic Act No. 10173, chapter III, § 12 (f).

⁷⁴ Data Privacy Act of 2012, Republic Act No. 10173, chapter III, § 13 (f).

⁷⁵ JCB v. FRL, NPC 21-031, Decision dated 03 March 2022, at p. 10.

necessary for the purposes of the legitimate interests pursued by the personal information controller or by a third party or parties to whom the data is disclosed, except where such interests are overridden by fundamental rights and freedoms of the data subject which require protection under the Philippine Constitution.

Further, it is settled in *JCB v. FRL* that the person whose lawful rights and interests is protected in court proceedings may not be the same individual who processed the personal information, *viz*:

The phrase “for the protection of lawful rights and interests of natural or legal persons in court proceedings” cannot be interpreted to relate only to the person asserting the lawful basis of the processing of personal information. It also contemplates situations where those persons whose lawful rights and interests are protected in court proceedings may not be the same individuals who processed the personal information, such as in the case of witnesses. Similarly, the next clause “establishment, exercise or defense of legal claims” may be interpreted to refer to the legal claims of persons other than those who processed the personal information.⁷⁶

Here, the first processing occurred when Respondent HBM disclosed the stream of messages to Respondent ARM. It must be remembered that in the communications of the Complainant to Respondent HBM, the former wanted Respondent ARM to deny and explain the alleged anonymous message and even stated therein that ARM better give a good explanation about this.”⁷⁷

Another justification for the disclosure made by Respondent HBM is the fact that she was Respondent ARM’s Building Head at .⁷⁸ Clearly, the processing of Complainant’s personal information is lawful at the incipient and necessary for purposes of the legitimate interests pursued by Respondent HBM to whom the information is disclosed.

In the same tenor, the testimony of Respondent HBM and the stream of messages were presented in the civil case before the MTCC of San Pablo City, Laguna to prove that Complainant accused Respondent ARM of threat and that Complainant abused her right by intentionally reporting the unfounded or unverified accusation to Respondent ARM’s workplace.⁷⁹ On the second processing, Respondent ARM merely requested a copy of the conversation between the Complainant

⁷⁶ *Id.* at p. 11.

⁷⁷ Joint Comment dated 10 October 2022 of Respondents ARM and HBM, ¶ 34.

⁷⁸ Annex “A” of Joint Comment dated 10 October 2022 of Respondents ARM and HBM, p. 61.

⁷⁹ Annex “D” of the Complaint dated 15 August 2022 by Complainant T MSO, p. 3.

and Respondent HBM on the belief that they were wronged and their rights were violated.⁸⁰

Thereafter, the subject communication furnished by Respondent HBM was used by Respondent ARM in her counterclaim as evidence in the ejectment case filed before the court, precisely to protect her rights and interest, and to establish her defense or legal claims.⁸¹ Respondent HBM's execution of the Judicial Affidavit as well as the attachment of the messages to support the claim of Respondent ARM on the civil case before the MTCC of San Pablo City, Laguna, likewise constitutes lawful processing as it is considered as a legitimate interest pursued by Respondent ARM.

*IV. The Commission dismisses the
Complaint on the basis of the
Affidavit of Desistance.*

On 13 April 2023, Respondents filed a Manifestation stating that the parties entered into a compromise agreement in the civil case before Branch 1, MTCC of San Pablo City, Laguna and that they filed a Joint Motion for Approval of Compromise Agreement attaching the Compromise Agreement thereto.⁸²

The 2021 Rules of Procedure of the NPC clearly states that a motion to dismiss is one of the prohibited motions when filed by the Respondent during the pre-investigation stage or the complaint proceedings.⁸³ Herein, it was the Complainant herself, who prays for the dismissal of the instant case in her Motion.⁸⁴ The Rules do not prohibit the Complainant from withdrawing the complaint.

Consequently, the 2021 Rules of Procedure also provides for the withdrawal of the complaint during the investigation phase but before the submission of the Fact-Finding Report by the Investigating Officer, to wit:

SECTION 4. *Withdrawal of the complaint.*– At any period before the submission of the Fact-Finding Report, the Complainant may withdraw the complaint upon approval of the investigating officer and upon such terms and conditions as the

⁸⁰ Joint Comment dated 10 October 2022 of Respondents ARM and HBM, ¶ 20.

⁸¹ Joint Comment dated 10 October 2022 of Respondents ARM and HBM, ¶ 16.

⁸² Manifestation dated 13 April 2023 by the Respondents, ¶ 1.

⁸³ NPC Circular 2021-01, rule VI, § 5, ¶ (1) (2021).

⁸⁴ Motion to Dismiss dated 30 June 2023 of Complainant TSO.

latter may deem proper. The investigating officer may recommend either the dismissal of the case, with or without prejudice, or the application of the Commission's power to initiate *sua sponte* investigations.⁸⁵

The Commission considers the Complainant's Motion (to Dismiss) as a withdrawal of the complaint. After all, the Supreme Court is steadfast in their ruling that "[i]n administrative proceedings, technical rules of procedure and evidence are not strictly applied and administrative due process cannot be fully equated with due process in its strict judicial sense."⁸⁶

In the annexed Affidavit of Desistance (With Recantation of Sworn Statement) dated 23 June 2023⁸⁷ executed by the Complainant, she stated as follows:

I, **TSO**, of legal age, single, and a resident of XXX, after having duly sworn to in accordance with law hereby depose and state:

1. I have instituted a case (1) before the National Privacy Commission (NPC) docketed as **NPC Case No. 179-22** entitled **TSO V. ARM and HBM**, (2) an administrative case before the Department of Education Region IV-A Calabarzon docketed as **DepEd-4A-01C-PUS03-22-88** entitled **TS O V. ARM and HBM**;
2. After my extensive soul searching and consultation with my close family member with counsel, **I have decided to withdraw the aforestated complaint and desist from further proceeding unto the said suit**;
3. I likewise withdraw and recant the allegations unto my complaint affidavit, position paper and other pleading or documents made under oath in relation to the above-entitled cases;
4. Thus, may this instrument serve as my official withdrawal of the complaint as I declare that I am no longer interested in further pursuing the case; [and]
5. I am executing this affidavit to attest to the truth of the forgoing and for whatever legal purpose it may serve.⁸⁸

⁸⁵ NPC Circular No. 2021-01, rule VII, § 4 (2021).

⁸⁶ *Divina Palao v. Florentino International, Inc.*, G.R. No. 186967, January 18, 2017 (citing *Augusto R. Samalio v. Court of Appeals*).

⁸⁷ Exhibit "A," Motion to Dismiss dated 30 June 2023 by Complainant TSO.

⁸⁸ Emphasis supplied.

Meanwhile, in the annexed Compromise Agreement dated 12 April 2023⁸⁹ executed by the Complainant, Respondent ARM and her husband ERM, the parties agreed the following disposition, *viz*:

The undersigned parties, MSM, as represented by her attorney-in-fact, TSO, and SPOUSES ARM & EVM, assisted by their respective counsel, hereby enter into amicable settlement, and without necessarily going to the merits of the case, agree as follow:

1. Immediately upon the approval of this Compromise Agreement or rendering of judgement based thereto, they shall cause the dismissal of other related cases filed or caused to be filed against each party, including the cases filed by plaintiff's attorney-in-fact, to wit:
 - a. x x x
 - b. Complaint for Violation of Data Privacy Act filed by TSO against ARM and HBM before the National Privacy Commission docketed as NPC Case No. 22-0179;

x x x

2. Both parties, including TMO and SRM, shall forego any actions for and against each other that may already have accrued as of this date. Parties also waive any other claims.

IN WITNESS WHEREOF, we have mutually and voluntarily agreed to the above stipulations and hereby affix our signature this April 12, 2023. We respectfully submit the same for the consideration and approval of the Honorable Court and pray that Judgement based on this Compromise Agreement be rendered.⁹⁰

By virtue of the Affidavit of Desistance filed by the Complainant, the Commission hereby dismisses the instant complaint against the Respondents.

WHEREFORE, premises considered, the Commission resolves that the Complaint filed by TMSO against ARM and HBM is hereby **DISMISSED** for lack of merit.

⁸⁹ Annex "A," Annex "1" of Manifestation dated 12 April 2023 by Respondents ARM and HBM.

⁹⁰ Underscoring provided.

This is without prejudice to the filing of the appropriate civil, criminal, or administrative cases against the Respondents before any other forum or tribunal, if any.

SO ORDERED.

City of Pasay, Philippines.
01 August 2024.

SGD
JOHN HENRY D. NAGA
Privacy Commissioner

WE CONCUR:

SGD
LEANDRO ANGELO Y. AGUIRRE
Deputy Privacy Commissioner

SGD
NERISSA N. DE JESUS
Deputy Privacy Commissioner

Copy furnished:

TSO
Complainant

TTS
Counsel for the Complainant

DBA
Counsel for the Respondents

COMPLAINTS AND INVESTIGATION DIVISION

ENFORCEMENT DIVISION
GENERAL RECORDS UNIT
National Privacy Commission